Indian Metals & Ferro Alloys Ltd

Concall Tracker, Q1 2027 update · Screener ticker: IMFA · Builds on the Q4-2026 report

EARNINGS-CALL DEEP READ · CONTINUITY

1. Snapshot: what the business is

In one line: IMFA is India's biggest maker of **ferrochrome**, the iron-and-chromium alloy that goes into stainless steel. It mines its own chrome ore and makes much of its own power, then smelts the ore into alloy and sells most of it to steel mills in Korea, Japan, China and Taiwan. Owning the ore is why it stays a low-cost producer.

₹5,971 cr
Market value today. That's what the whole company is worth on the stock market.

₹960 cr
Q1 FY27 sales (Apr-Jun 2026), a record and up about half on the ₹642 cr of a year ago.

₹191 cr
Q1 FY27 net profit, more than double the ₹91 cr of a year ago. Also a record.

29%
Operating margin in Q1, up from 20% a year ago. Out of every ₹100 of sales, ₹29 was left before interest, depreciation and tax.

₹2,826 cr / ₹424 cr
FY26 full-year sales and profit. Q1 alone delivered close to half of last year's whole profit.

₹982 cr
Borrowings at March 2026, up from ₹414 cr a year earlier because of the plant purchase and the new build.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24 to Q3 FY26 (10 calls)	Nov 2023 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	27 May 2026	Read for the Q4-2026 report
Q1 FY27	**4 Aug 2026**	**Newly deep-read in full ★**

Screener lists 19 transcripts and all 19 downloaded. Only the new Q1 FY27 call was read in full this time. The backstory from the earlier three years comes from the prior report.

★ Latest concall highlights: Q1 FY27 (call held 4 Aug 2026)

- **Best quarter ever.** Sales ₹960 cr and operating profit ₹281 cr, both records. Read: higher prices and more tonnes landed in the same quarter.
- **Volume showed up.** About 80,000 tonnes sold against a normal 65,000. That's exactly what they guided in May. Read: the bought Tata Steel plant (KNR-2) is already adding real tonnes.
- **Price near the top.** Blended selling price just under ₹1,20,000 a tonne, up from about ₹1,09,000 in Q4. Read: each tonne earns roughly a tenth more than last quarter.
- **Guidance trimmed.** FY27 output cut from 4,00,000 to about 3,80,000 tonnes. Some old transformers at KNR-2 can't be run at full load, and the gas-cleaning unit needs work to meet emission rules. New transformers go in over Q2 and Q3. FY28 target of 4,75,000-5,00,000 tonnes is kept. Read: a small trim, explained openly.

- **Tone: quietly confident, careful on price.** Q2 prices seen "more or less" the same with a slight dip, and only a little extra volume while they build stock. The big tonnage jump comes in Q3 and Q4. They won't guess prices beyond that.

Business mix & capacity: quick facts

- **Domestic vs export:** about 19% of Q1 sales went to Indian buyers, the rest abroad (mostly the Far East). Read: still mainly an export business. The long-run aim is closer to 40% domestic as India's stainless-steel demand grows.
- **Capacity use:** the old Therubali plant runs flat out. KNR-2 has all four furnaces on but a couple are deliberately under-loaded. Management expects a run-rate of 1,20,000-1,25,000 tonnes a quarter by Q4 FY27. Read: about half as much again as Q1, once everything is stable.
- **Ore cover:** about 6 lakh tonnes of chrome ore stocked, enough for a year of the extra capacity.

★ Since our last report

Builds on the Q4-2026 report (call of 27 May 2026). Prior verdicts: **trigger YES**, **consistency MAYBE (leaning positive)**.

Prior read	What we said then	What the new call shows	Movement
Trigger	Capacity nearly doubling into a strong price cycle	Record quarter, both volume and price showed up in the numbers	**Confirmed**
Consistency	Strategy steady, dates keep slipping	Q1 volume promise met; FY27 output trimmed; KNR-1 slipped again by about a month	**Unchanged**
KNR-1 first furnace	Switch-on 10-15 July 2026	Lining being heated; first tapping expected third week of August	**Slipping**
KNR-1 second furnace	End-Aug / early Sept	End Sept / early Oct	**Slipping**
Q1 FY27 sales of ~80,000 t	Guided in May	About 80,000 t delivered	**Confirmed**
FY27 output ~4,00,000 t	Guided since Feb	Cut to ~3,80,000 t on KNR-2 equipment issues	**Slipping**
JSW green power	Flowing from July	Line ready since June, power expected in August	**Slipping (small)**
Ethanol unit	Start Q2 FY27	Not mentioned on the call	No update

Verdict change: both verdicts unchanged. The trigger is now plainly in the results. On consistency, the one-month slips and the trimmed FY27 number are offset by meeting the Q1 volume guide and flagging the cut before anyone asked.

3. Earning Trigger thesis ★

The driver: IMFA is taking output from about 2.65 lakh tonnes to roughly 5 lakh tonnes over FY27 and FY28, using the Tata Steel plant it bought (KNR-2) and a new plant it built next door (KNR-1). All the extra ore comes from its own mines, so it grows without buying costly ore. Q1 is the first quarter where this

showed in the profit line, helped by ferrochrome prices near their highs. The question now is price. South Africa's power utility has given its smelters a cheap special power rate, and the big producers there have restarted furnaces. If China doesn't cut its own output, there could be too much ferrochrome around.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
KNR-2 (bought Tata Steel plant)	Four furnaces running; full load once transformers are replaced in Q2-Q3	Lifted Q1 tonnes to about 80,000; under-loaded for now	Full by Q4 FY27	**Strong**	↑ improving: tonnes now in results, though below hoped load
KNR-1 (new build)	First tapping late Aug, second furnace end Sept / early Oct	Heating up; not yet producing	H2 FY27	**Strong**	unchanged: about a month later again
Ferrochrome price	Q2 similar, slight dip; no view beyond	Realization near ₹1,20,000/t, margin 29%	Now, uncertain later	**Moderate**	↓ weakening outlook: South African restarts could add supply
Own ore, low cost	Ore is the biggest cost and it's captive; only royalty changes hit it	Cost per tonne rose only to about ₹86,000 from ₹82,000 while price jumped	Ongoing	**Strong**	unchanged
Critical minerals	Still interested	Lost the blocks it bid for	Unclear	**Unproven**	↓ weakening: no win yet

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 calls	New plant producing around Sept 2025	Slipped to Aug 2026 (land, resettlement, elections)	**Partly**
FY25 calls	Margins around 25%; new plant capex ₹500-700 cr	Margins fell to about 18% in H2 FY25; capex rose to about ₹900 cr	**Partly**
Utkal coal claim	Compensation "any time"	Cut down and stuck after the Supreme Court route closed	**Missed**
Q2 FY26	Close Tata Steel plant deal within the year from own cash	Closed Feb 2026, internally funded	**Delivered**
Q4 FY26 (May 2026)	Q1 FY27 sales ~80,000 t; Q1 prices better than Q4	About 80,000 t; price up to just under ₹1,20,000/t	**Delivered**
Q4 FY26 (May 2026)	KNR-1 first furnace mid-July; FY27 output 4 lakh t	First tapping late Aug; FY27 trimmed to 3.8 lakh t	**Partly**
Q1 FY27 (Aug 2026)	KNR-1 second furnace end Sept / early Oct; KNR-2 transformers swapped in Q2-Q3; extra KNR-2 furnace clarity in 3-4 months	Open	Too early

Narrative drift: none on the big story. It's been "grow ferrochrome while owning the ore" for three years, and this call stuck to it. What keeps slipping is the calendar. Every recent call has pushed the new plant out by a few weeks, and now the FY27 tonnage guide has come down a notch too. In fairness, the MD raised the cut himself in his opening remarks and said he'd rather explain a miss than leave an old number hanging. He also kept telling analysts not to read the company quarter by quarter, which is a polite way of refusing to guide on price.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

What moved: the trigger went from promise to result. Q1 had record sales and profit with the extra tonnes from KNR-2 clearly visible, and KNR-1 is weeks from first metal. Volume should keep rising through Q4. The weak spot is price. It sits near a high, and South African restarts could pull it down. Management's answer is that the extra half in volume should cover a moderate price dip. That's believable, but it isn't a guarantee.

Management consistent? → MAYBE (leaning positive) vs last quarter: unchanged

What moved: they hit the Q1 volume number they gave in May, which counts. But the new plant slipped again, green power arrived a month late, and the FY27 output target came down because the bought plant's old equipment needs replacing. They were open about all of it, and the strategy hasn't wavered. Dates still keep sliding, though, and that's why this stays a Maybe.

Prepared from Screener.in concall transcripts (19 available; the Q1 FY27 call of 4 Aug 2026 deep-read in full, earlier calls carried forward from the Q4-2026 report) and Screener financial data. Coverage capped at calls held up to 30 Sep 2026. Ferrochrome = iron-chromium alloy used to make stainless steel. Realization = average selling price per tonne. Not investment advice.